The state is the most powerful actor in society. The state has the capacity to coerce, the capacity to inflict violence upon private persons. Many people get giddy at the prospect of wielding state power, and come up with woolly ideas for state intervention. Each of us has a few pet peeves, and we are quick to propose the use of state power to pursue our own value judgements.

In India, we have a government that runs temples, restaurants, airlines and banks. Our government until recently enforced criminal sanctions against gay sex, has criminal sanctions against marijuana and plans to criminalize the use of crypto-currencies like bitcoin. [1]

We may think it is obvious that the government should not run restaurants, but the Tamil Nadu government runs Amma kitchens, and seems to do this rather well. We may think it is obvious that the government should not run a factory that makes wristwatches, but the public sector company, Hindustan Machine Tools (HMT), long had a monopoly making wristwatches in India.

There is a vast array of objectives that a state can potentially pursue through government action. But there is a big gap between dilettantism in public policy and the professional capability of actually making it work. We need the intellectual capacity to envision how a plausible-sounding intervention will actually work out. The first milestone in this journey is asking: Should the government be doing this? Can we go beyond gut feeling, to an analytical toolkit through which we can think about the appropriate objectives of government?

Freedom works well

To understand what the state should do, we should first appreciate what free men and women do all by themselves. Most of the great achievements of mankind can be traced to the creativity and drive of free persons.

The normal rhythm of the market process is one where firms compete to obtain greater profit. Firms energetically look for actions that will yield